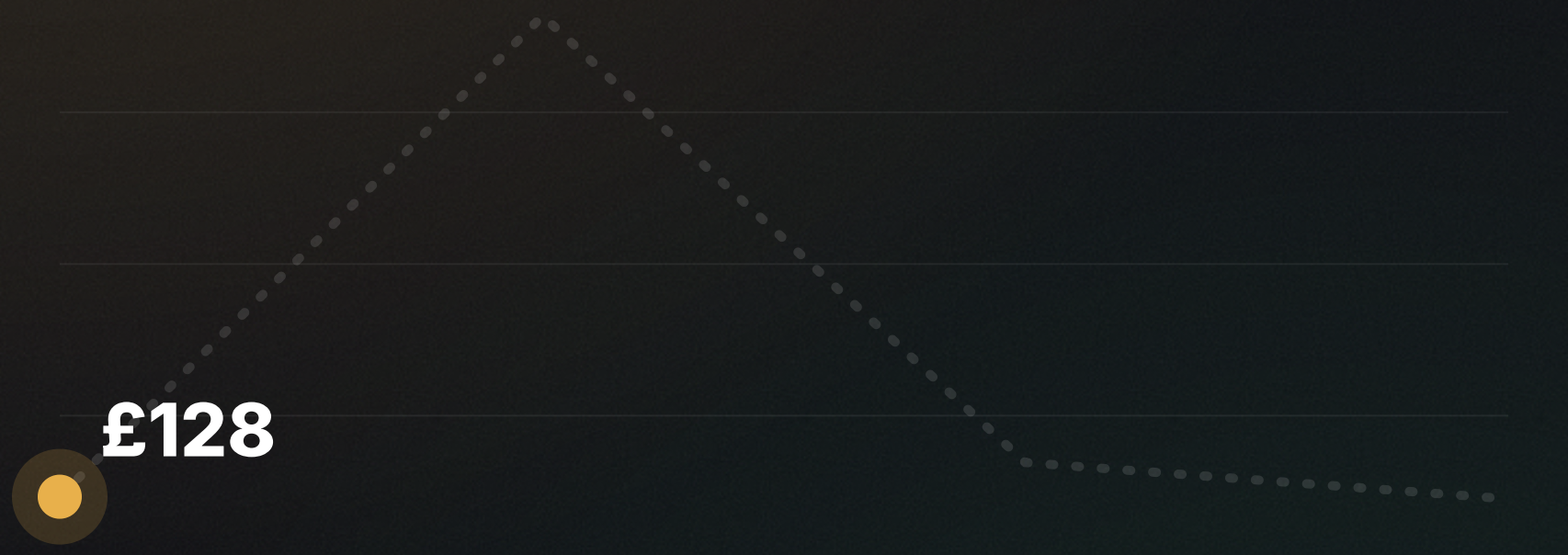
The smartest man in England lost a fortune to FOMO.



Isaac Newton. Gravity. Calculus. Warden, then Master, of the Royal Mint.

> And one terrible trade.

1720: South Sea Company stock is the hottest thing in London.



About £128 a share in January.

MOVE 1

Newton buys early, sells, and books a profit.

HE BUYS

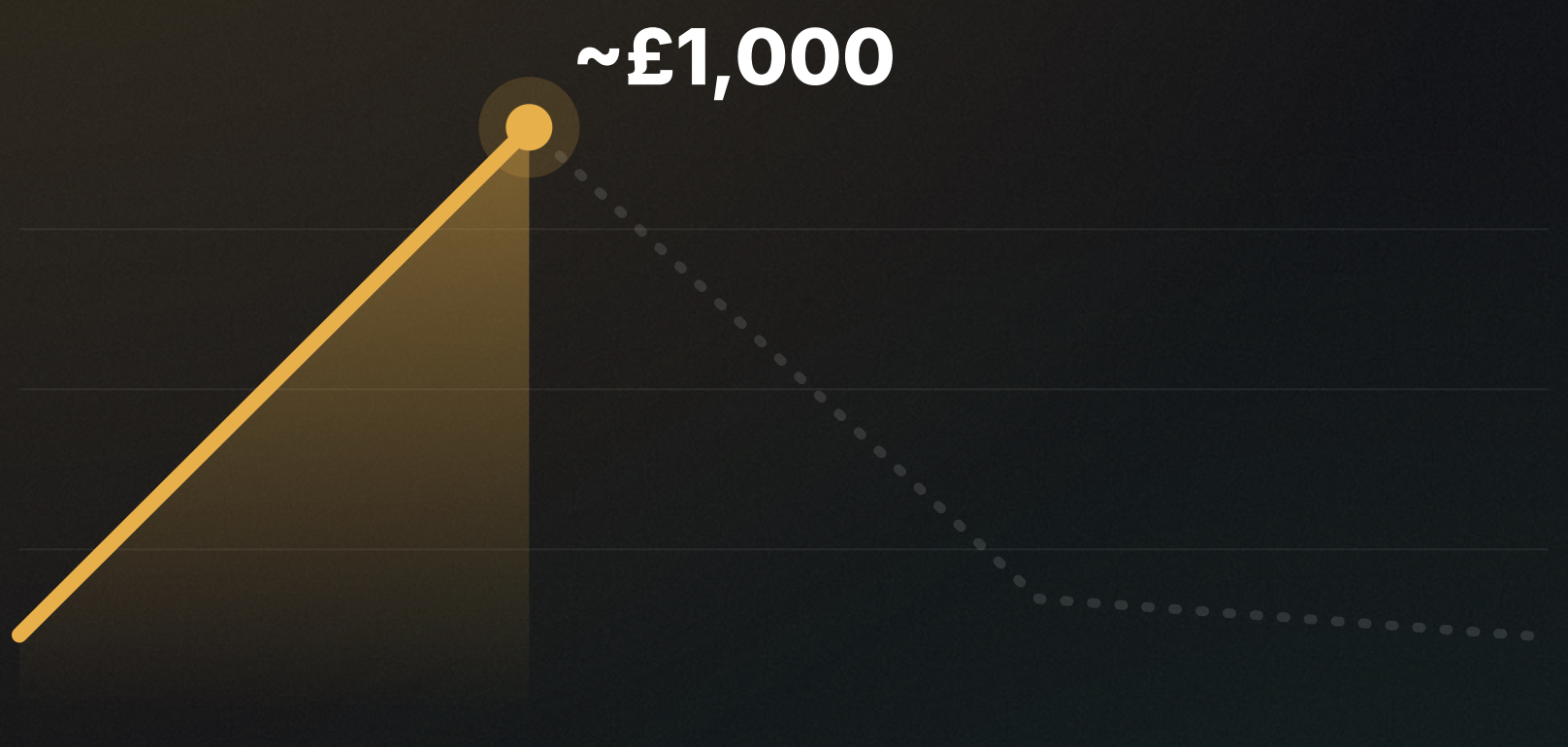
Early

HE SELLS

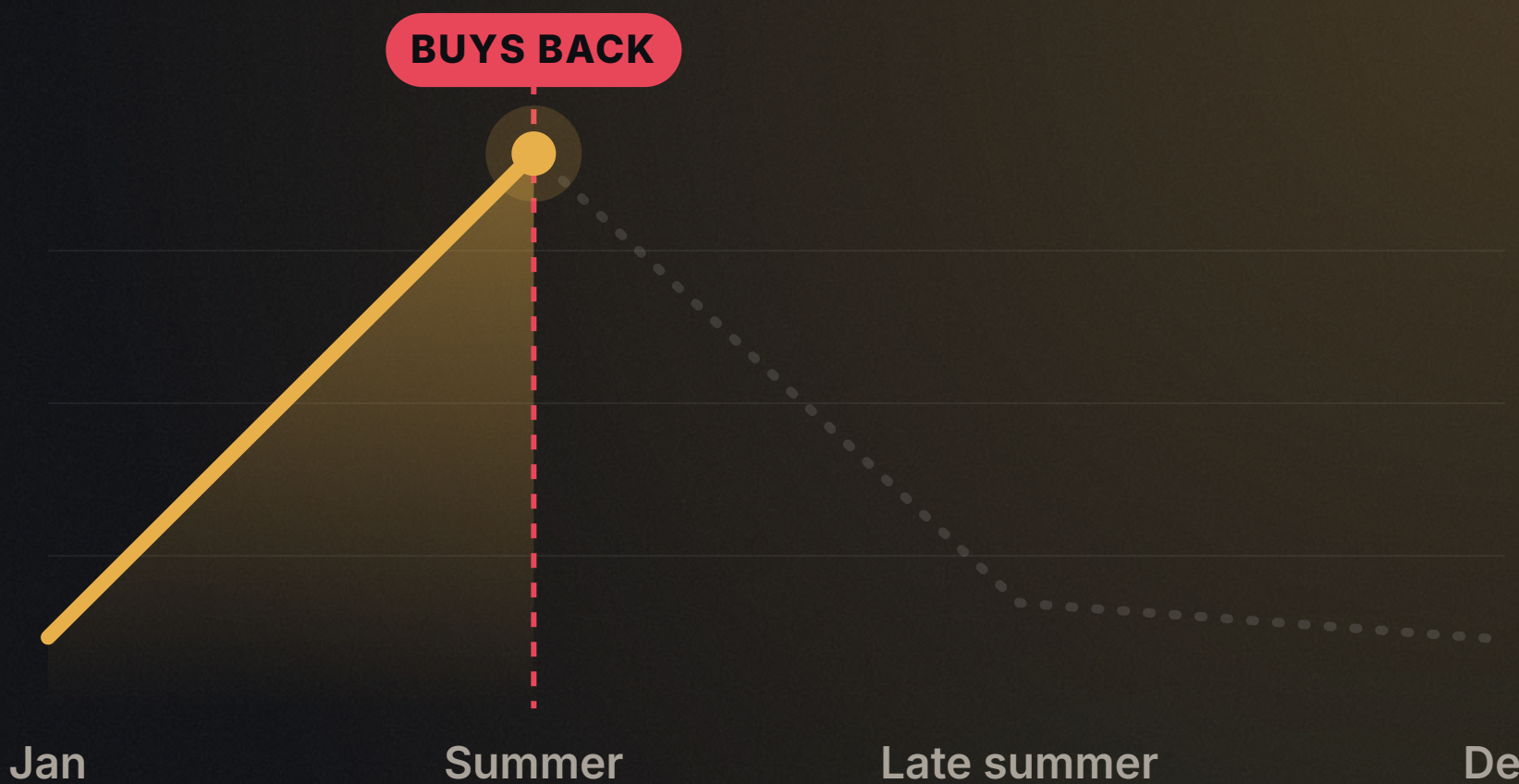
Profit ✓

Smart.

Then the price keeps climbing.



Around £1,000 by early summer. The people around him are getting rich.



Newton buys back in. Near the top.

By December, shares are around £124.



Approximate share prices, 1720. Sources differ slightly.

> The bubble has burst.

He reportedly lost £20,000

A fortune at the time.

> Historians call the exact evidence inconclusive.

That famous Newton line?

~~“I can calculate the motions of heavenly bodies, but not the madness of people.”~~

> There's no solid source for it. The loss is the real lesson.

YOUR RULE

Genius doesn't protect you from crowds. Rules do.

1. Set your buy and sell rules before the crowd gets loud.
2. Write them down.
3. Follow them when it feels boring.

@bino_da_producer

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